

2:00 PM

LINE 5

23-CIV-04063

MARIGOLDYZP I LLC VS. 88 TUSCALOOSA AVE LLC, ET AL

MARIGOLDYZP I LLC
ALI SADEGHI

CATHERINE S. ROBERTSON
MATTHEW S. KENEFICK

CROSS-DEFENDANTS DELIA FEI AND RON GABLE'S MOTION TO STRIKE PORTIONS OF DEFENDANTS PIERRE BULJAN AND ELIZABETH BULJAN'S 2ND AMENDED CROSS-COMPLAINT

TENTATIVE RULING:

The Court incorporates by reference its tentative ruling overruling Cross-Defendants' demurrer issued herewith.

The Motion to Strike Portions of Defendants Pierre Buljan and Elizabeth Buljan's 2nd Amended Cross-Complaint (the "Motion") brought by Cross-Defendants Delia Fei and Ron Gable (herein, "Cross-Defendants") is DENIED.

The governing statute provides that: The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

Strike out any irrelevant, false, or improper matter inserted in any pleading.

Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. Code Civ. Proc. § 436.

Cross-Defendants move to strike the following from the Second Amended Cross-Complaint ("SACC"):

1. Paragraph 55 in its entirety: "In subjecting Pierre Buljan to the wrongful treatment herein described, the Cross-Defendants, each of them willfully and maliciously with the intent to harm Pierre Buljan, and in conscious disregard of Pierre Buljan's rights, acted with oppression, fraud, and/or malice under California Civil Code § 3294. Pierre Buljan is informed, and on that basis alleges, that these willful, oppressive, fraudulent and/or malicious acts as alleged herein above were ratified by the officers, directors and/or managing agents of the Cross-Defendants."

2. The following language from paragraph 56: "As a legal result of Defendants' oppression, fraud and/or malice, Pierre Buljan is entitled, in addition to compensatory damages, to punitive damages under California Civil Code § 3294."

3. Paragraph 3 of the Prayer for Relief: "Punitive damages, according to proof."

Motion at 2:10-20.

Cross-Defendants assert that these pleas for punitive damages are merely conclusory, and thus insufficient. The argument is essentially that since the SACC fails to plead the underlying torts, then it does not meet the heightened pleading standard for punitive damages. The Motion thus fails with the Demurrer.

Accordingly, for the reasons given in the Court's Tentative Ruling on the concurrently set Demurrer, the Motion is DENIED.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 6

25-CIV-01108

LANCE WARE VS. ROBERT HELLMAN, ET AL

LANCE WARE
ROBERT HELLMAN

RICHARD D. KEYS
ADAM C. ABRAHMS

DEFENDANTS' DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT

TENTATIVE RULING:

For reasons addressed below, Defendants' demurrer to Plaintiff's Second Amended Complaint ("SAC") is **SUSTAINED** as to Plaintiff's claims for Breach of Contract, Fraud, and Negligent Misrepresentation, without leave to amend. Defendants' demurrer is **OVERRULED** as to Plaintiff's claim for Misappropriation of Trade Secrets.

Defendants' request for judicial notice of the August 29, 2022 LOCAL2U Term Sheet, executed by Plaintiff, Troy Snyder, and Defendant APIF, which Plaintiff's references in the SAC and claims the subsequent alleged oral contract largely follows, is **GRANTED**.

Background

Plaintiff Lance Ware alleges he and Defendants agreed to create a joint venture that would ultimately be operated through a parent company called Local2U, LLC ("Local2U") and would use equipment installed on United States Postal Service ("USPS") flagpoles on properties owned by Defendant American Postal Infrastructure Fund, L.P. ("APIF"), first through Local2U (West Virginia) LLC ("L2UWV") and later through entities in other states. SAC ¶¶ 17-19.

Plaintiff alleges that in August of 2022, he, Troy Snyder, and Defendant APIF signed a Term Sheet outlining a business plan for their joint venture. SAC ¶ 17. While Plaintiff acknowledges that the Term Sheet provided that it was non-binding and that further written agreement was required, Plaintiff alleges that Bob Hellman, the director of APIF, told Plaintiff that Plaintiff and APIF "had a deal" and the joint venture could move forward, with necessary paperwork to be completed in the near future." SAC ¶¶ 18, 21.

Plaintiff claims that he performed under the alleged contract by disclosing the details of his trade secrets and refining the technology for bringing broadband internet connectivity to rural/underserved areas, sourcing equipment and materials, hiring employees, and overseeing the creation and connection of equipment necessary to implement the wireless broadband program. SAC, ¶¶ 22, 25.

Plaintiff alleges that APIF breached the joint venture contract by failing to perform its duties, including failing to fund the joint venture as agreed upon, failing to deliver post office sites for use as promised, failing to create a "parent entity" or providing Plaintiff with ownership interests as promised, and failing to follow through with grant applications. SAC ¶35. As a result, the venture fell apart by July of 2024 when Hellman stopped taking Plaintiff's calls, effectively terminating the joint venture. SAC ¶ 29. Plaintiff alleges that Defendants have continued to use the technology and trade secrets disclosed to them by Plaintiff, without Plaintiff's consent. SAC, ¶¶ 31, 54.
